

25STCV00931 25STCV00931

County: los-angeles

Division: Civil Law and Motion

Department: 515

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Case Number: 25STCV00931 Hearing Date: June 26, 2026 Dept: 515

Plaintiffs' request for default judgment is denied without prejudice,
for the reasons set forth below.

I. Usury

Each \$50,000 loan carries a flat \$13,500 fee due in sixty days, an effective interest rate (approximately 234% annually), well past the 10% constitutional limit, and usury is not waived by the default. (Cal. Const., art. XV, § 1.) The prove up packet does not include evidence of any usury exception. Plaintiff is instructed to provide evidence of an exception or seek only the \$50,000 principal for each loan.

II. Double Recovery

Additionally, plaintiff's request for prejudgment interest under Civil Code section 3287 is denied because, on these facts, it would duplicate the liquidated damages sought as part of the principal judgment. Prejudgment interest is an element of compensatory damages, not a litigation cost. (North Oakland Med. Clinic v. Rogers (1998) 65 Cal.App.4th 824, 830.) It therefore falls within the settled bar against awarding more than a single recovery for each item of compensable damage. (Tavaglione v. Billings (1993) 4 Cal.4th 1150, 1158-1159 ["Regardless of the nature or number of legal theories advanced by the plaintiff, he is not entitled to more than a single recovery for each distinct item of compensable damage supported by the evidence. [Citation.] Double or duplicative recovery for the same items of damage amounts to overcompensation and is therefore prohibited. [Citation.]"].)

II. Attorney fees

Fees are denied because Plaintiff requests \$16,500 in attorney fees, far in excess of those authorized under Rule 3.214, and provides no basis for the departure from the fee schedule.

III. Doe Defendants

The Doe defendants have not been dismissed, and a default judgment cannot be entered while they remain in the case. (Code Civ. Proc., § 579.)

IV. Theory and pleading mismatches

The brief proves up common counts that were never pled, and it invokes fraud and oppression, though no punitive damages are sought. Wade's individual liability for breach of contract is not established, and Wade's only alleged misrepresentations occurred post-default, so any fraud damages must also be post-default. Additionally, the individual plaintiffs' standing is unclear because the loan documents identify PWRMoves LLC as the lender.